Palantir Technologies Inc.

PLTR NYSE

Hold	$178.34 ▼ 3.13%	12M Price Target	52-Week Range	Market Cap
		$185.00	$106.37 – $212.94	$428.56B

PLTR: Froth Coming Out as Puts Pile Up Pre-Earnings

WHAT HAPPENED

- PLTR just dropped ~10% in three sessions (from $198 to $178) on heavy volume — 32.7M shares today vs the usual ~20M. That's not retail panic, that's institutions trimming. No news, no filings — which tells me this is positioning ahead of earnings and profit-taking after a monster year (stock is still up huge, sitting at 68% of its 52-week range).
- Meanwhile the rest of the market is ripping — Consumer Disc +2.4%, Financials +1.9%. Money is rotating OUT of expensive AI winners and INTO cyclicals. Classic "risk-on but rotate" day.

WHY IT MATTERS

The options market is screaming caution — put/call ratio of 1.49 (meaning 1.5 puts bought for every call) with unusual put buying clustered at $160-$170 strikes expiring in November. Someone with real money is betting on, or hedging against, a drop to $160 before month-end — and earnings are the obvious catalyst. Combine that with a director (Alexander Moore) dumping ~$1M of stock in mid-October near the highs, and you've got insiders + options desks sending the same message: the risk/reward got stretched. This probably means the stock trades sideways-to-down into the print, and the question becomes whether earnings are good enough to justify a ~290x forward P/E (meaning investors are paying $290 for every $1 of earnings) — which is an incredibly high bar.

POLICY & POLITICAL WATCH

The tailwind here is massive and underappreciated: the FY2026 defense budget expanded AI/software spending meaningfully, and the administration's push on federal AI adoption (via ongoing executive orders on AI procurement) basically pre-selects Palantir for a lot of this work since they're already FedRAMP High certified — meaning smaller competitors literally can't bid on the same contracts. Watch the continuing resolution/budget negotiations in Congress right now — if defense gets a haircut in reconciliation, PLTR's government segment (still ~55% of revenue) takes the hit directly. On the flip side, any new executive order mandating AI integration across federal agencies is a direct green light for Palantir's Foundry and AIP platforms.

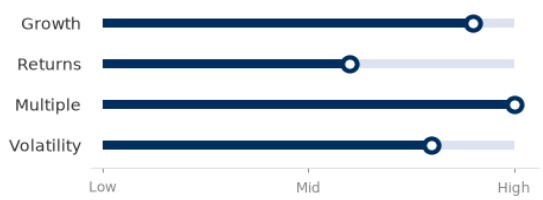
IS IT EXPENSIVE?

At $178 and a $428B market cap, PLTR trades at roughly 93x forward sales — meaning investors are paying $93 for every $1 of revenue the company will generate next year. For context, Microsoft trades around 12x and even NVDA trades around 20x. That's not a stock, that's a religion — it only works if commercial AI revenue keeps growing 50%+ and government contracts keep compounding, otherwise the multiple compresses hard.

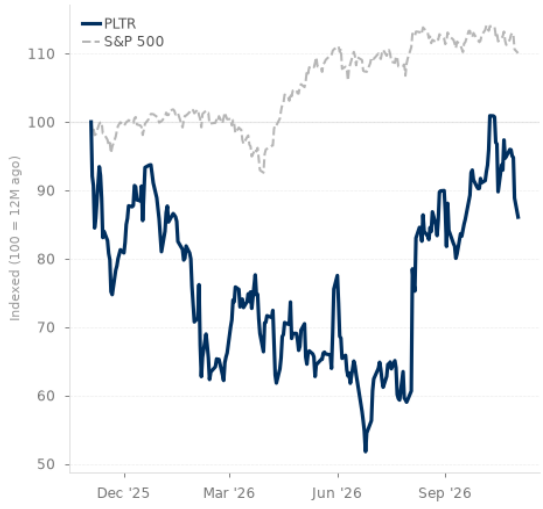
Key Data

Price (USD)	**$178.34**
12M Price Target	**$185.00**
Upside / (Downside)	**+3.7%**
Market Cap	**$428.56B**
FY2026E Revenue	**$4,600M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$0.62**
FY2027E EPS	**$0.85**
Fwd P/E	**287.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$200.00**	$180.00	**$155.00**
6 Months	**$230.00**	$190.00	**$140.00**
1 Year	**$260.00**	$200.00	**$130.00**
2 Years	**$320.00**	$230.00	**$120.00**
5 Years	**$500.00**	$320.00	**$100.00**
10 Years	**$900.00**	$500.00	**$80.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Financials — this is a classic "soft landing / rate cut hope" rotation, with money flowing into economically-sensitive names. Materials up 4.5% on the week also suggests infrastructure spending optimism.

COOLING OFF: High-multiple AI/software names (PLTR is the poster child today). After a huge run, these are being used as funding sources for the rotation into cyclicals.

ROTATION WATCH: Money is leaving "story stocks" and moving into "earnings stocks" — meaning investors want companies trading at reasonable multiples with real cash flow right now, not 90x sales dreams. That's a short-term headwind for PLTR until earnings resets the narrative.

RELATED PLAY: If you like the government AI thesis but want less valuation risk, look at Booz Allen (BAH) or Leidos (LDOS) — they're consulting firms that implement a lot of the same federal AI work PLTR enables, at single-digit sales multiples.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Defense primes are catching a bid as budget clarity improves — same tailwind as PLTR but at 20x earnings instead of 290x.
- BAH (Booz Allen Hamilton): Federal services play benefiting from the same AI procurement push, way cheaper multiple.

PLTR CONTEXT: PLTR is LAGGING the broader tape badly today (-3% while market is +1-2%). That underperformance tells us this is name-specific derisking, not a sector problem. When the stock lags on an up day with no news, it usually means institutions are quietly selling into strength — bearish short-term signal.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the long-term story (dominant AI software for the government, massive moat) but the valuation and the tape are telling me to be patient.

POSITION SIZE: Keep it at 2-4% max. The upside is real but a 30% drawdown from here is absolutely on the table if earnings disappoint — size for that reality.

ENTRY POINTS: I'd wait for $155-165 before adding. The options flow is pointing at $160 as a magnet. If earnings crush it and we rip through $200, chase small — don't FOMO in.

TIME HORIZON: 12-24 months. The real catalyst is the FY2027 defense budget cycle and whether commercial AIP keeps compounding — both play out over quarters, not weeks.

WHEN TO BAIL: Commercial revenue growth drops below 40% YoY, OR insider selling accelerates beyond what we're seeing now, OR defense budget gets cut by >5% in reconciliation. Any of those = thesis is cracked.

HEDGING: Buy a cheap put spread into earnings — basically pay a small premium for protection if the stock drops to $160. Or just trim 25% of your position before the print and buy it back after — removes the binary risk without ditching the thesis.

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